Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

BMV:BIMBO A (MI KEY: 4276592; SPCIQ KEY: 877909; TCUID: 52231)

Public
Year: Methodology Year: 2023
Question: Tax Reporting
Include Modeled Scores : Yes

Tax Reporting

Question

Does the company report on key business, financial and tax information for each tax jurisdiction in which it operates?

Rationale

Leading companies have realized that public reporting on their revenues, operating profits, and tax on a country-by-country basis helps build trust in their corporation and complements the reporting on their broader economic contribution. In combination with key information about the names and tax residence of all constituent entities, the main activities by tax jurisdiction as well as the average number of employees help investors better understand a company's tax profile and potential exposure to tax risks. If tax payments differ from the expected rates in a given jurisdiction, proactive companies can steer and facilitate the discussion about their tax contributions with all their stakeholders by explaining the reasons behind the difference in their reporting.

In this question, we aim to identify to what extent companies report key information about their tax contributions in all tax jurisdictions where the entities included in their organization's audited consolidated financial statements are resident for tax purposes.

Performance Summary	
Question Level Company Performance	0
Question Weight	29
Year-on-Year Change	0
Industry Average Score	30
Industry Highest Score	100

The question layout and the company's verified information is provided below. No information is shown if the company did not provide any information or if it opted out of sharing non-public information.

Additional Question Guidance & Information Display

Key Definitions

A constituent entity is a separate business unit, or subsidiary, of a multi-national enterprise group that is included in the consolidated group for financial reporting purposes. This includes a permanent establishment if a separate income statement is prepared for regulatory, financial, internal management, or tax purposes.

A description of the primary activities by jurisdiction can be in the form of a short statement regarding the nature of the trade in the respective location (e.g. Sales, Marketing or Distribution, Manufacturing or Production, Purchasing or Procurement, R&D, Holding or Managing Intellectual Property, etc.).

Revenues: All revenues, (extraordinary) gains and income, or other inflows shown in the financial statement prepared in accordance with the applicable accounting rules relating to profit and loss, such as the income statement or profit and loss statement, should be reported as revenues.

Profit (Loss) before tax: Also referred to as pre-tax profit (loss), pre-tax income, or earnings before tax (EBT). We also accept operating profit, earnings before interest and tax (EBIT).

Income Tax Accrued (Current year) is the amount of accrued current tax expense recorded on taxable profits or losses for the reporting fiscal year of all constituent entities resident for tax purposes in the relevant tax jurisdiction irrespective of *whether or not the tax has been paid* (E.g. Based on a preliminary tax assessment). The current tax expense only reflects operations in the current year and does not include deferred taxes or provisions for uncertain tax liabilities. However, for the purpose of this question, country-by-country reporting on income tax expense, corporate income tax, or current tax provisions is also accepted.

Income Tax Paid (on Cash Basis) is the amount of corporate income taxes actually paid during the reporting fiscal year, which should thus include not only advanced payments fulfilling the relevant fiscal year's tax obligation but also payments fulfilling the previous year(s)' tax obligation (E.g. payment of the unpaid balance of corporate income tax accrued in relation to the previous year(s), including payments related to reassessments of previous years), regardless of whether those taxes have been paid under protest. Consolidated taxes paid that include other items such as value-added tax, social security taxes, regional or industry-specific taxes are not accepted.

The amount of Income Tax Accrued (Current Year) and Income Tax Paid (on Cash Basis) should be reported independently.

The Number of Employees should reflect the average number of FTEs (full-time equivalents) during the reporting fiscal year, or a similar number, provided that it is applied consistently across the jurisdictions. Reasonable rounding is permissible if it does not materially distort the relative distribution of employees across tax jurisdictions.

Data Requirements

Please note: The tax data disclosed should fully reconcile with the corresponding information in the consolidated income statement.

To receive credit for comprehensive **country-by-country reporting**, we expect the countries reported on to cover at least 90% of the respective financial metric. This means that in order to receive credit for all boxes, we expect distinct disclosure for each of the metrics below, disclosing at least 90% of the respective consolidated total values in the income statement:

- Revenues
- Profit (loss) before tax
- Income tax accrued (current year)
- Income tax paid (cash basis)

In the case at least 90% of the respective metric (e.g. revenues) comes from **one country** (e.g. "domestic"), the remaining amount of the respective metric has to be summarized as "Other", "Foreign", "International" or similar. The disclosed metrics must fully reconcile with the corresponding figures in the consolidated income statement.

If there is more than one constituent entity in a jurisdiction, the numbers can be reported on an aggregate basis at a jurisdictional level. Accordingly, data should be reported on an aggregated basis, regardless of whether the transactions occurred cross-border or within the jurisdiction, or between related parties or unrelated parties. If possible, however, companies should report consolidated figures if consolidated data can be reported for each jurisdiction. Companies should state clearly if the data is reported on an aggregated or consolidated basis.

To receive credit for public reporting on the names of constituent entities, the primary activities, and the number of employees, companies are expected to clearly state that the information includes all constituent entities of the organization.

References

OECD / G20: Base Erosion and Profit Shifting – Action 13

Standards & Frameworks

GISD - Country by country tax reporting

GRI Disclosure - 2-1, 207-4

IRIS+ - OD6855

WEF Metrics - Total tax paid by country for significant locations

Data View

QUESTION LEVEL INPUT	COMPANY ANSWER
Company publicly reports on tax related metrics on a tax jurisdiction basis	Not measured
Names of all the resident entities publicly reported for each tax jurisdiction	Not measured
Primary activities publicly reported for each tax jurisdiction	Not measured
Number of employees publicly reported for each tax jurisdiction	Not measured
Revenue	Not measured
Operating profit	Not measured
Income tax accrued publicly reported for each tax jurisdiction	Not measured
Taxes paid	Not measured

Questionnaire

Does your company **publicly report** on key business, financial and tax information for each tax jurisdiction where the entities included in your organization's audited consolidated financial statements are resident for tax purposes? Please indicate where this information is available in your public reporting.

1. ○
   Yes, we publicly report on the following for **each tax jurisdiction** in which we operate:
   1. ☐ Names of all the resident entities
   2. ☐ Primary activities
   3. ☐ Number of employees
   4. ☐ Revenue
   5. ☐ Profit (Loss) before tax
   6. ☐ Income tax accrued (current year)
   7. ☐ Income tax paid
2. ○
   No, we do not report on tax related metrics on a tax jurisdiction basis.
3. ○
   Not applicable. Please provide explanations in the comment box below.

Confidential additional comments

Use the text field below only in the following cases: (i) to describe significant changes in data or calculation methodology compared to last year's submission, (ii) to explain why a question is not applicable to your company's business model, (iii) to explain if your data deviates from the unit or format requested, or (iv) to provide supporting notes on translations of non-English references.